Barclays Bank of Kenya

Investor Briefing and Result Announcement

Q2 2018

Nairobi, 14th August 2018

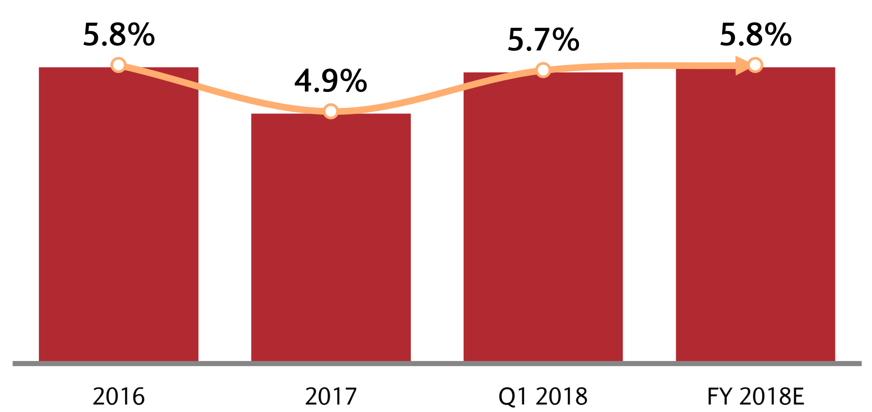
BARCLAYS

Agenda

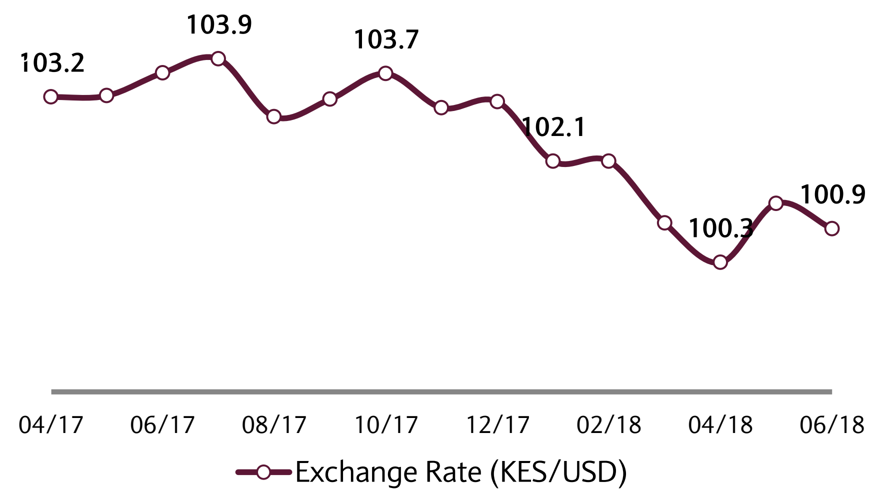
Operating Environment (01)

The economic environment remains promising, on balance with certain downside risks apparent

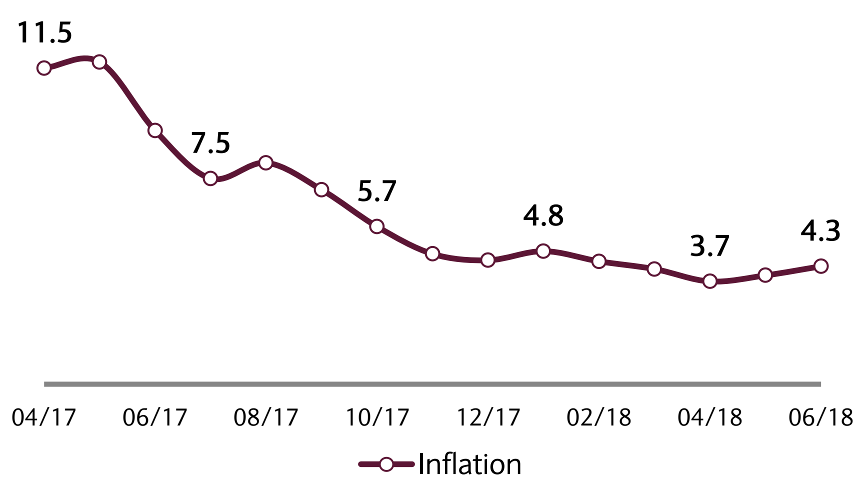
GDP growth rebounds



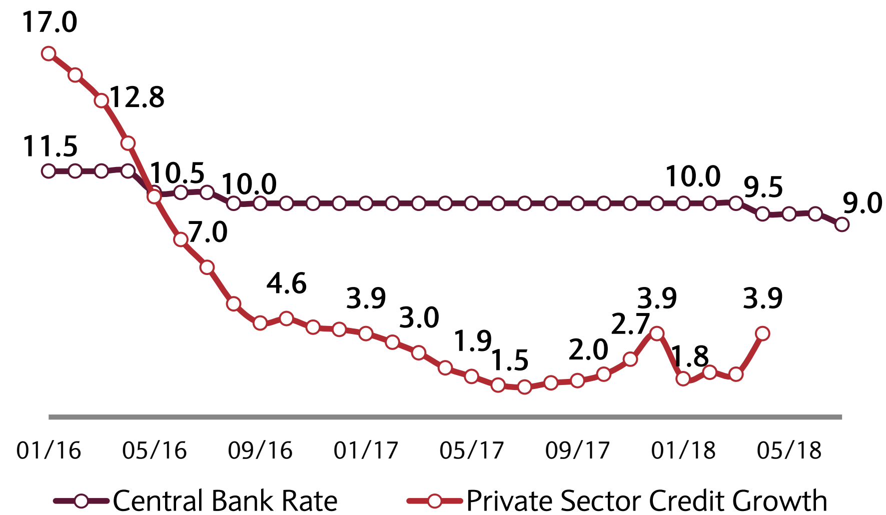
Strengthening currency



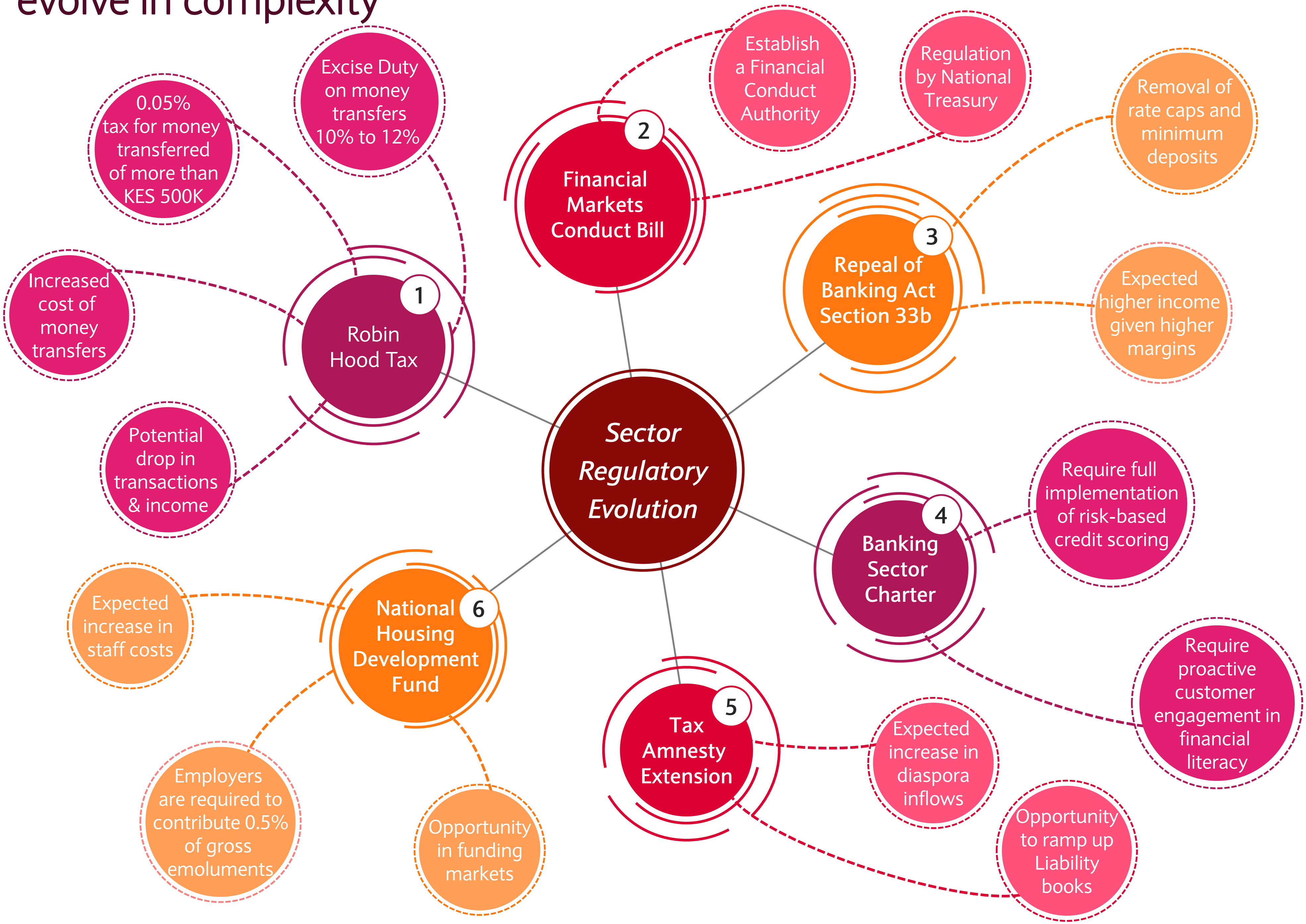
Inflation under control



CBR profile further tightens private sector credit



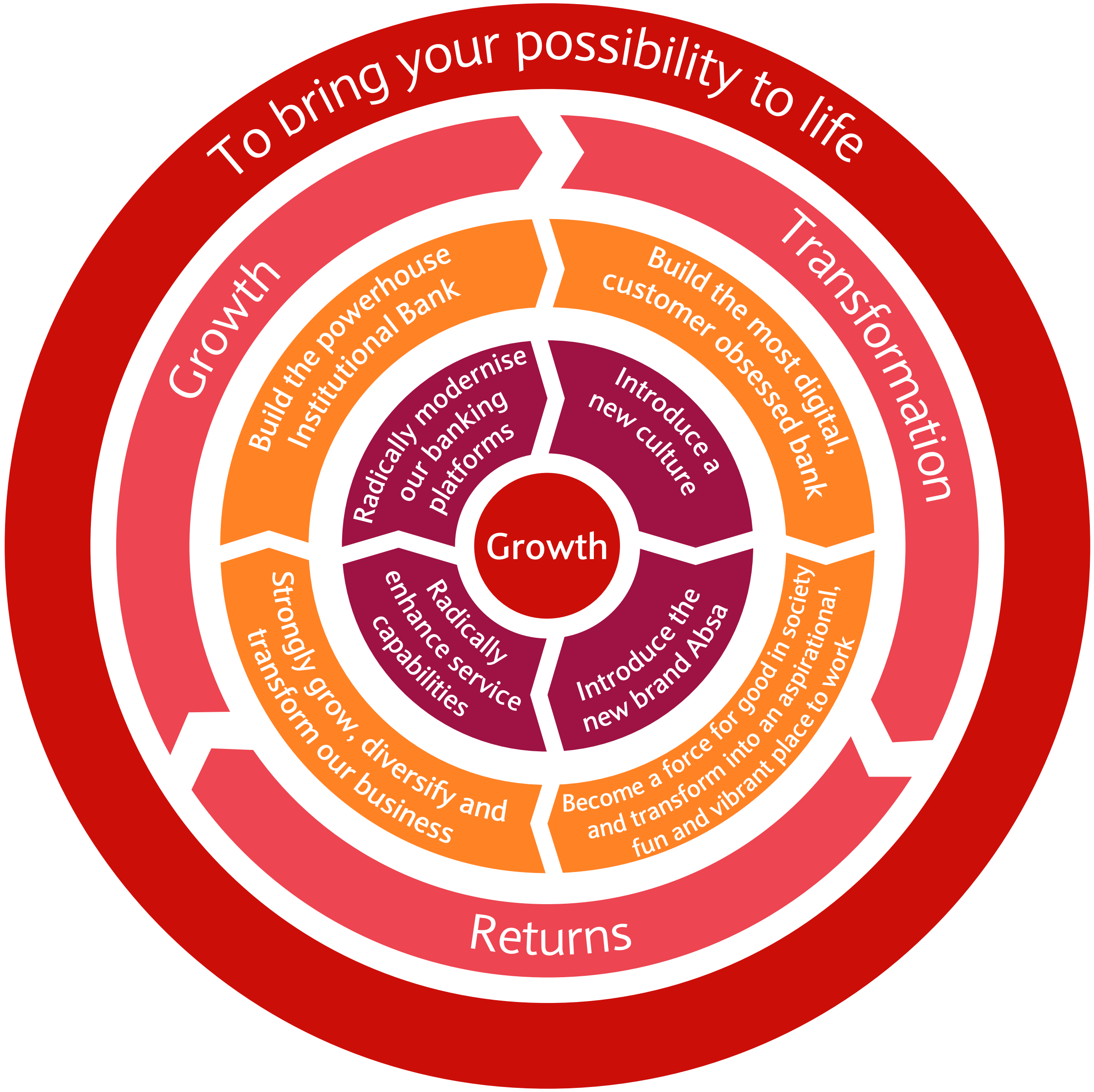
However, the regulatory (and legislative) environment continues to evolve in complexity



Strategy Execution Highlights

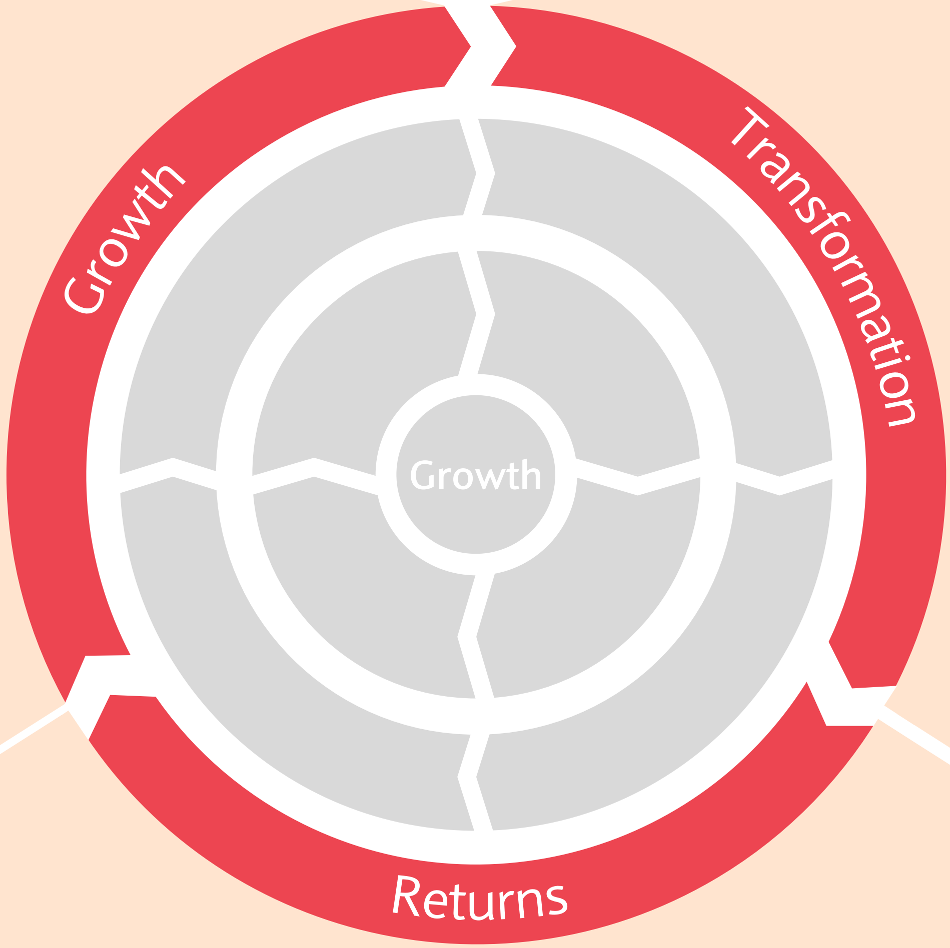
(02)

Our long-term strategy is now clear and set



And in the first 6 months of strategy execution, we have seen promising results

- Gained Revenue Market Share from 8.3% in 2017 to 8.5% in 2018 Q1
- Double digit growth in Customer Deposits
- Launched new businesses
- Launched Timiza



- 68% transactions out of the branches (65% in 2017)
- FTE reduced by 5% in 2018 H1 from 2017 FY
- Concluded 2018 branch optimization target
- Robotics Automation

- Grew AFS book (ROE-captive portfolio) to KES 70Bn in 2018 H1, 34% increase from 2017 level
- Increased adjusted ROE from 18% in 2017 H1 to 19% in 2018 H1

Timiza is Bringing Possibility to Life and Future Proofing the Retail Bank

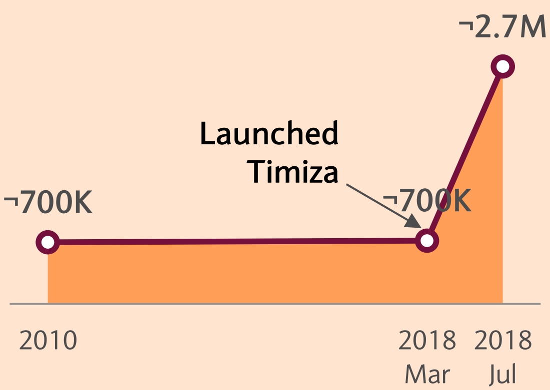
Bringing Possibility to Life

2,000,000 Customers

800,000+ Loans Issued

First 130 Days

Future Proofing the Retail Bank

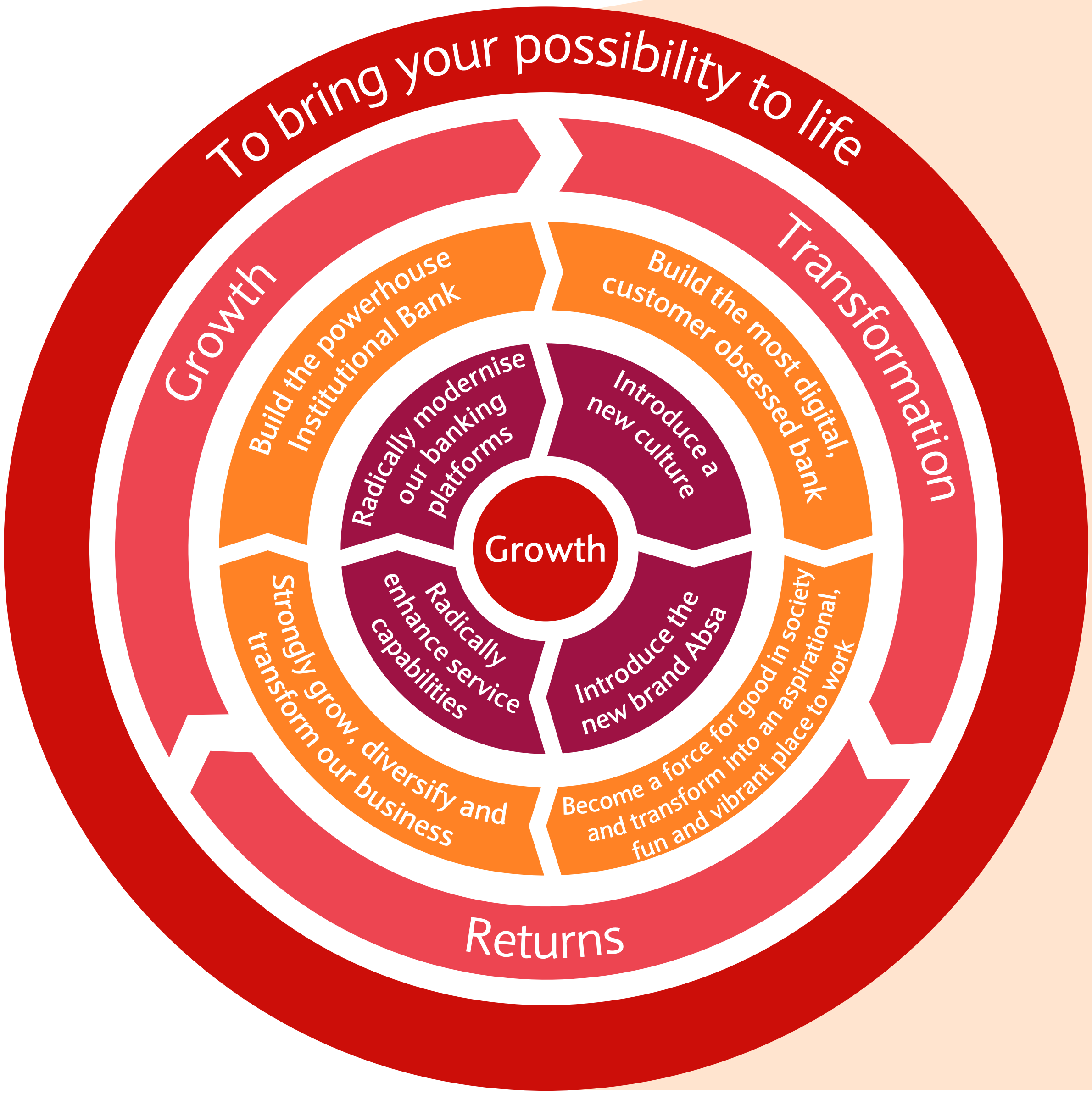


45 Average Customer Age → **30** Average Customer Age

Strategy Forward Guidance

(03)

Our forward guidance on strategy execution is focused on Growth and Transformation



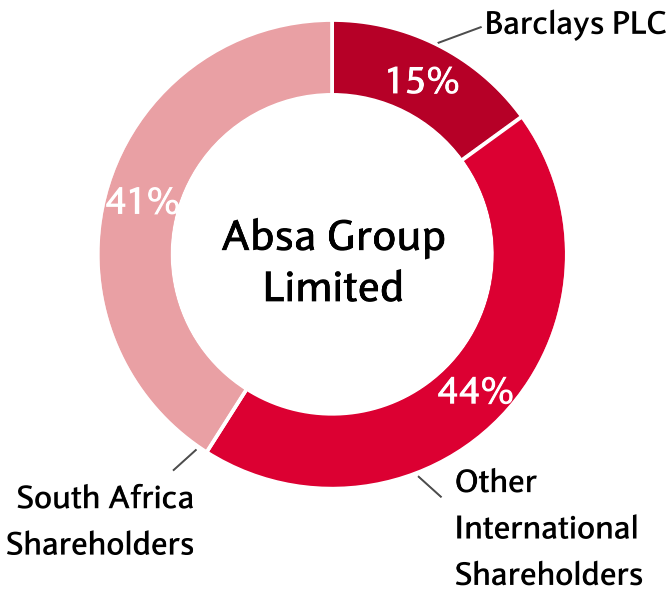
H2 2018 / H1 2019 Guidance

1. Repositioning our Retail and Business Bank by building on virtual banking capabilities
2. Sustaining a leadership position in our Financial Markets business
3. Taking market share in Corporate and Investment Bank
4. Separating from Barclays PLC safely and beginning to land the new brand

Our transformation (and transition) to Absa is well underway

Q1 2018

Group Name changed from Barclays Africa Group Limited to Absa Group Limited



Q2 2018

New Brand Launched on 11th July 2018

Regulatory deconsolidation achieved

Q3 2018 – Q1 2019

Credentials Campaign

Thematic Campaign

Sponsorships

Brand Change by June 2020

The new brand is designed for the digital era

We move from…

…to among leading global brands designed for the digital era

…showing up in a spectrum of colours

Expected impact of the re-branding (and transition) to our financials

Disclosure on Page 7 of 2017 Integrated Report:
"The separation will have an impact on the Bank's financial results for the next few years. Most notably will be increased costs over time as the separation investments are concluded. This includes substantial change spend, as we invest in the systems required to separate, the Transitional Services Agreement costs we pay Barclays PLC to provide various services during the separation, depreciation, amortisation and impairing any intangible. Capital replacement will be received from our Holding company BAGL to neutralise the capital and cash flow impact of the separation investments over time."

	2018 – 2020/2021E
Statutory Financials	▪ Statutory financials will include one-time rebranding and transition related costs until 2020/2021E ○ Transition Services Agreement Costs and separation related investments ○ One-Time rebranding expenses related to real estate rebranding and marketing and advertising ▪ Statutory financials will include incremental run-rate costs related to business as usual investments and recharges from our new parent AGL
Normalized Financials	▪ Normalised financials will exclude one-time rebranding and transition related costs until 2020/2021E ○ Transition Services Agreement Costs and separation related investments ○ One-Time rebranding expenses related to real estate rebranding and marketing and advertising ▪ Statutory financials will include incremental run-rate costs related to business as usual investments and recharges from our new parent AGL
Impact to Capital & Dividend Policy	▪ Capital replacement related to one-time separation investments and re-branding expenses will be received from AGL to neutralise capital and cash flow impact ▪ Dividend policy will not be impacted by the increased one-time costs ▪ Dividend will not be impacted given capital replacement

H1 2018 Financial Results

(04)

H1 Group Performance: Stable balance sheet growth and well managed cost growth impacted by higher impairment

(In KES millions unless stated otherwise)

	BBK Financial Performance		Variance
	2018 H1	2017 H1	% YoY
Income Statement			
Net Interest Income	10,967	10,544	▲ 4%
Non Interest Income	4,697	4,394	▲ 7%
Total Revenue	15,663	14,939	▲ 5%
Impairment	(1,717)	(1,353)	▲ 27%
Total Costs(*)	(8,661)	(8,433)	▲ 3%
Profit Before Tax	5,286	5,152	▲ 3%
Taxation	(1,524)	(1,610)	▼ (5%)
Profit After Tax	**3,762**	**3,543**	▲ **6%**
Profit After Tax (Normalised)	3,762	3,543	▲ 6%
Balance Sheet			
Net Customer Loans	176,115	163,783	▲ 8%
Total Customer Deposits	216,809	188,652	▲ 15%
Government Securities Investments	70,343	52,649	▲ 34%
Trading Book	22,986	4,820	▲ 377%

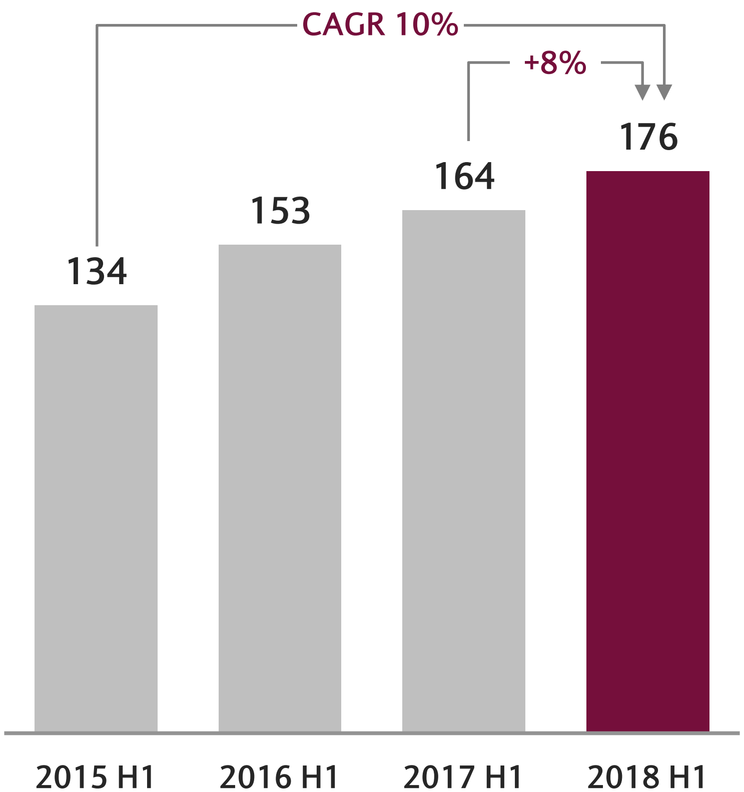
(*) These costs are inclusive of investments incurred to meet restructuring costs. The underlying costs realized a drop of 4% with a resulting year-on-year growth of 14% on PBT.

Salient features: Key ratios showing marked improvement

Key Performance Indicators	2018 H1	2017 H1	Variance	
Return on Equity	18.6%	17.5%	▲	1.1%
Cost to Income Ratio	55.3%	56.5%	▼	(1.2%)
Cost to Income Ratio *(Adjusted for One-Off Investments)*	50.4%	55.3%	▼	(4.9%)
Staff Costs to Total Costs	58.9%	60.8%	▼	(1.8%)
Loan Loss Ratio	2.0%	1.7%	▲	0.3%
Net Interest Margin	9.0%	9.8%	▼	(0.9%)
Cost of Funds	2.6%	2.5%	▲	0.1%

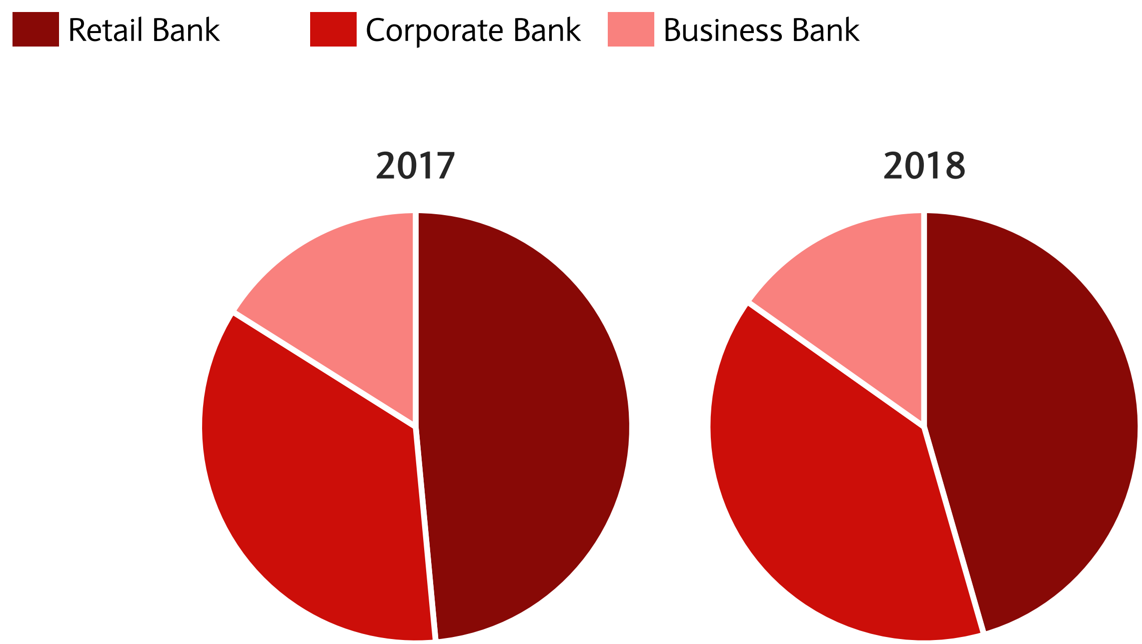
Customer loans and advances: Growth on account of key corporate deals

(In KES billions unless stated otherwise)



- LDR of 81% (2017: 97%)
- Government Securities increased by 34% on a YoY basis

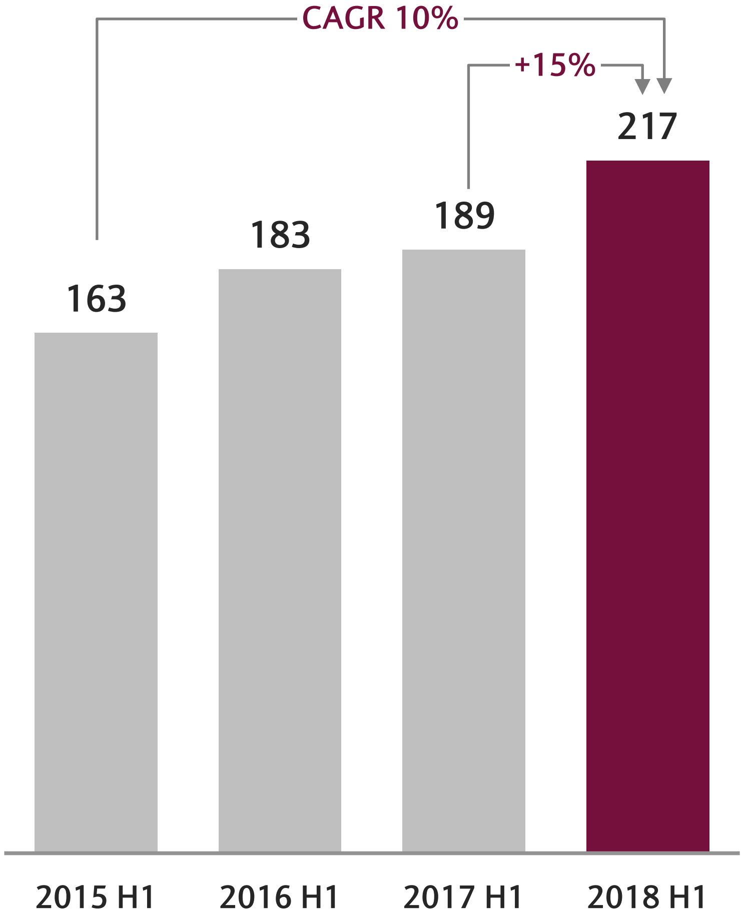
Functional Contribution



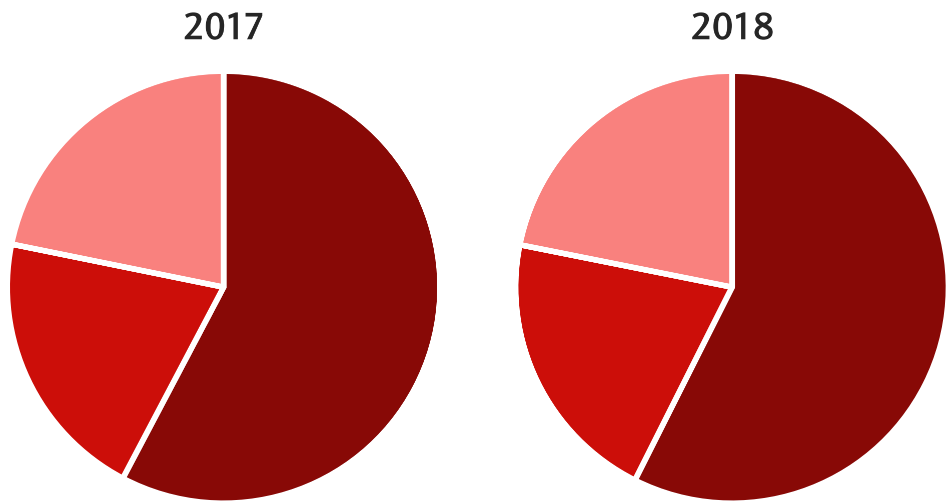
	2017	2018
FCY Proportion	23%	28%
Yield on Loans	12.9%	12.1%

Customer deposits: Increased deposit mobilization across all business segments

(In KES billions unless stated otherwise)



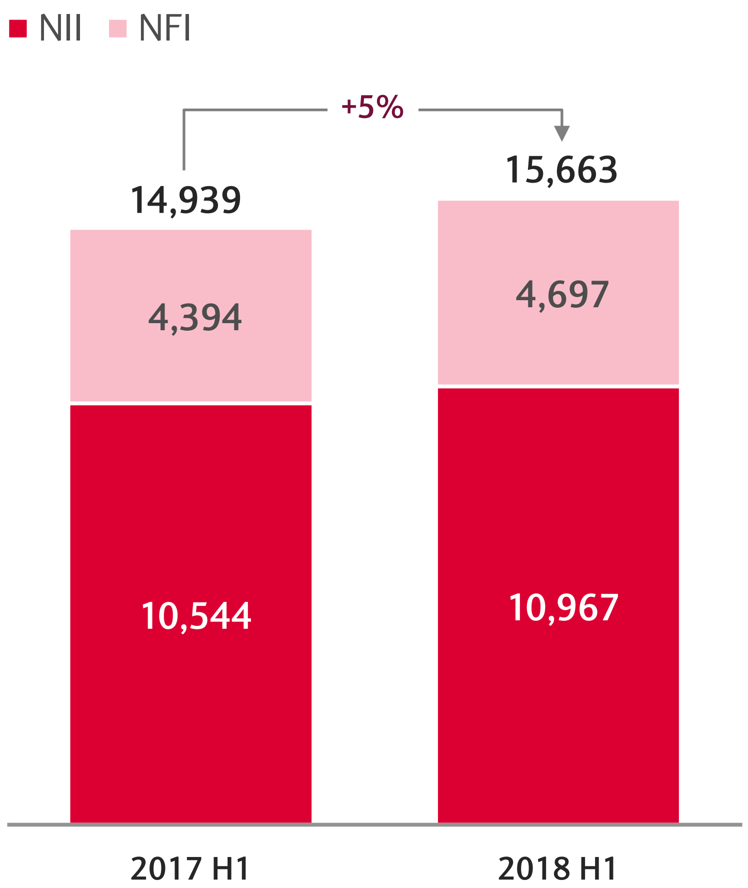
Functional Contribution



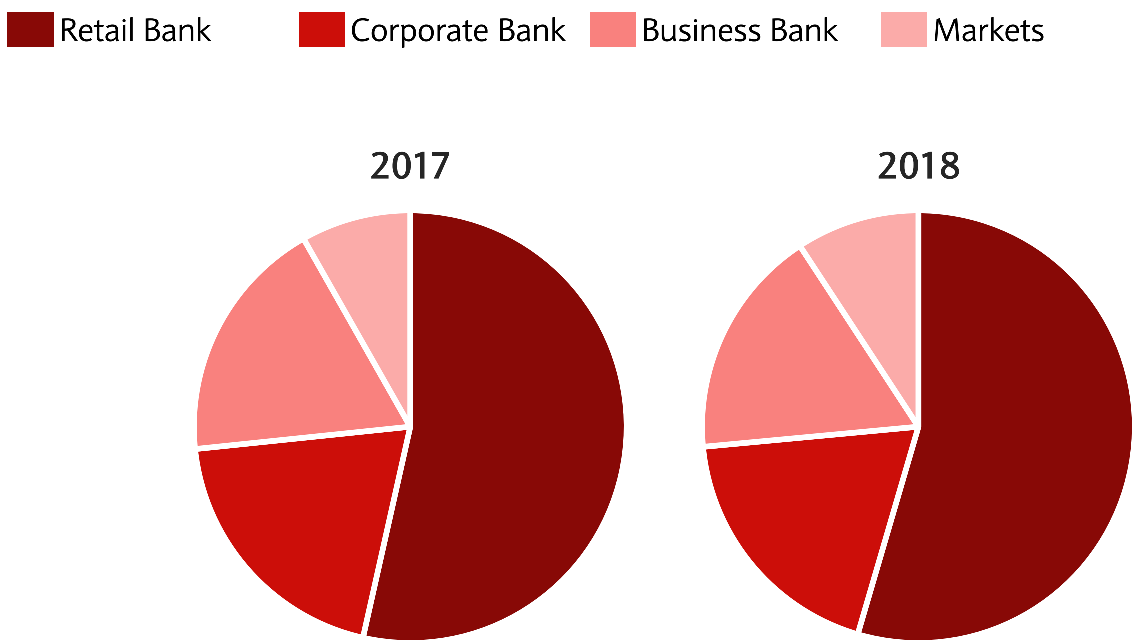
	2017	2018
Cost of Funds	2.5%	2.6%
Transactional A/C (%)	70%	66%

Income growth boosted by government securities investments and strong liability growth

(In KES billions unless stated otherwise)



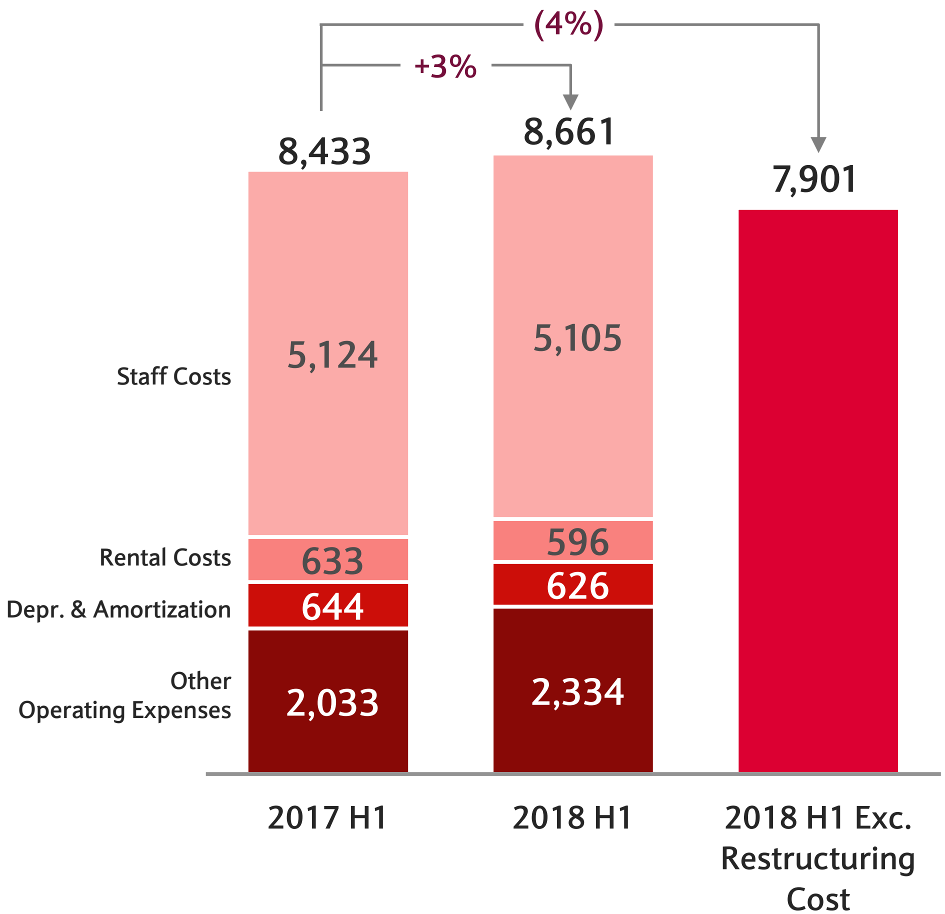
Functional Contribution



Consumers and Markets segments recording marked growth on YoY contributions

We have continued to invest for future growth whilst driving efficiency

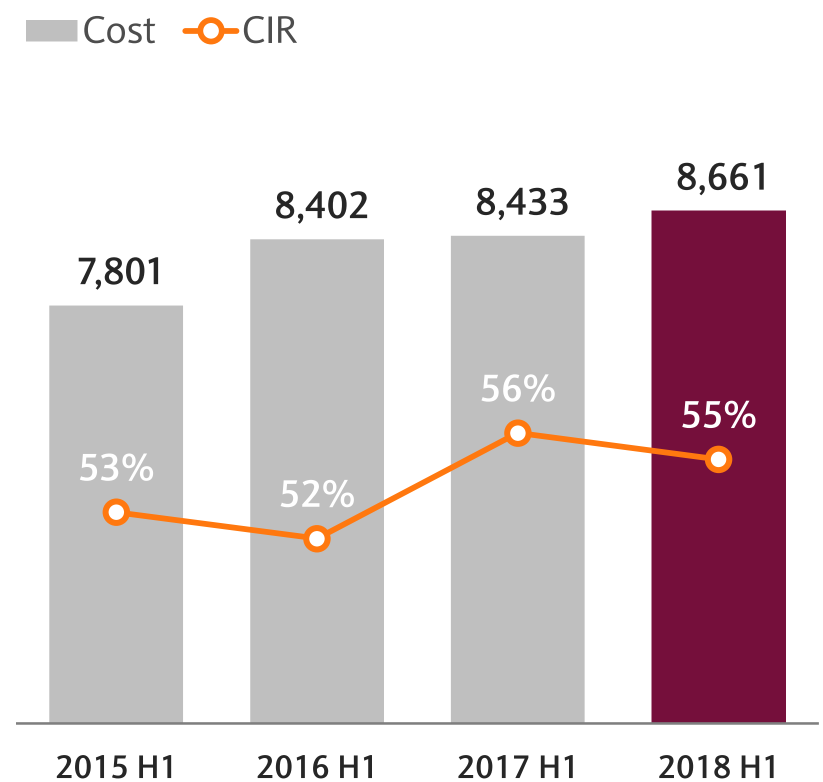
(In KES billions unless stated otherwise)



Benefits coming from..

- Investments in technology
  - E-statement
  - Paperless banking
- Other alternate channels
  - Agency Banking
- Process automation
- Customer centric channels
  - Intelligent ATMs
  - Internet banking
  - Mobile banking
- Branch optimization
- Optimum people structures: 12% drop in FTE on a YoY basis

2015-2018 Cost Trajectory



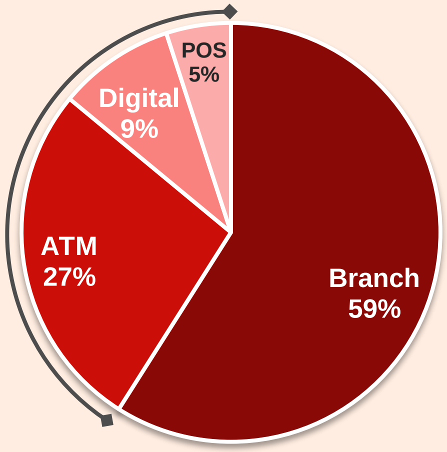
	2015 H1	2016 H1	2017 H1	2018 H1
FTE	2,810	2,666	2,465	2,164
Branch	121	102	95	85

- 4% CAGR despite inflation and heavy investments over the period
- When adjusted for interest rates caps and restructuring costs, our 2018 H1 CIR stands at 44% down from 48% as at H1 2017

BARCLAYS absa Part of the Absa family

Continued investments in alternate channels driving efficiency and better customer experience

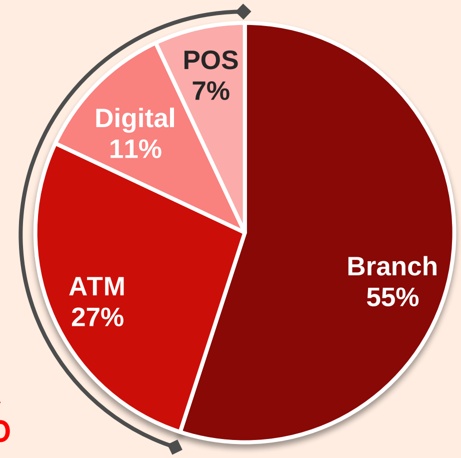
Alternate Channel Usage FY 2015



41%

of all transactions

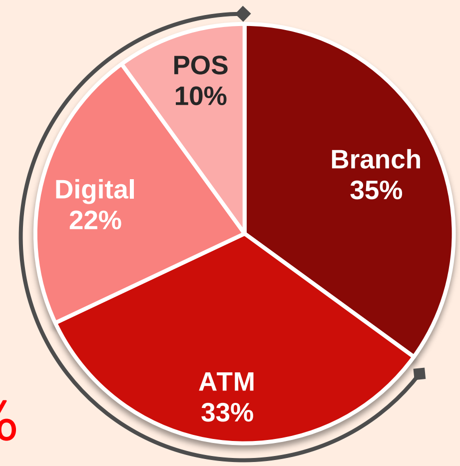
Alternate Channel Usage FY 2016



45%

of all transactions

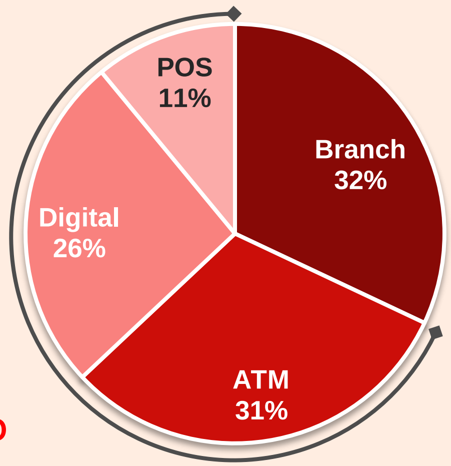
Alternate Channel Usage FY 2017



65%

of all transactions

Alternate Channel Usage H1 2018

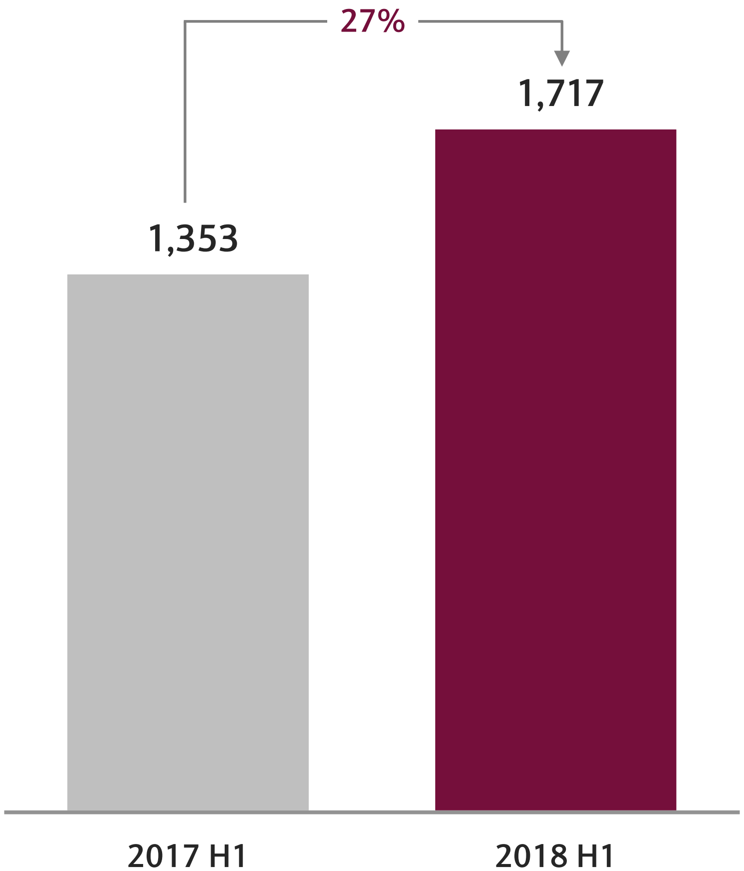


68%

of all transactions

Impairment: Year on year growth driven by key CIB names

(In KES billions unless stated otherwise)



	2017 H1	2018 H1
LLR	1.7%	2.0%
Coverage Ratio	58%	63%

- Significant improvement in upstaging the levels of underwriting standards as well as internal efficiencies on the collections and recoveries fronts

Way Forward:

- We have invested in people, systems and process to manage impairment going forward

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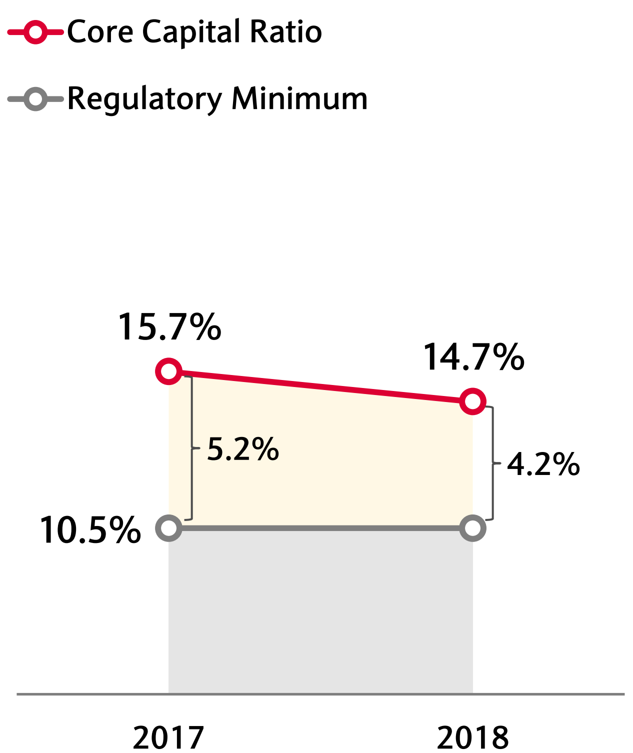
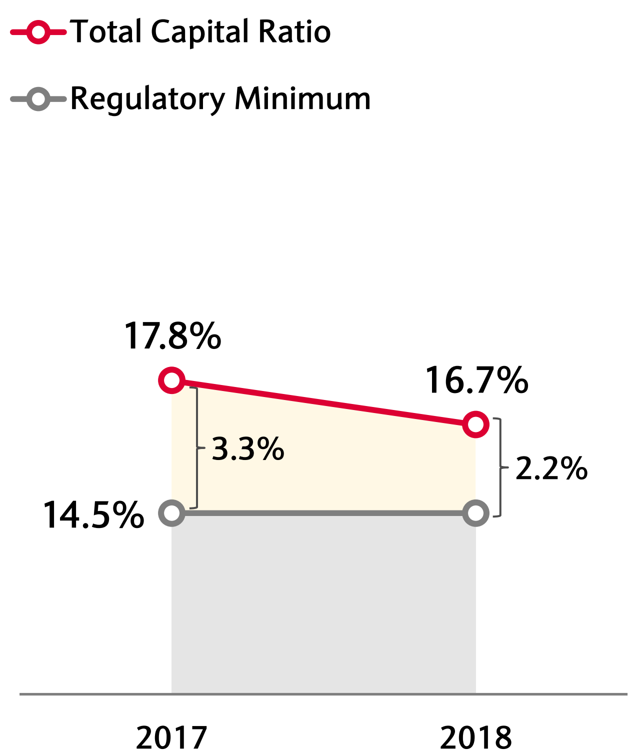
Capital ratios: Strong capital to support future growth combined with adequate capital structure

Buffer

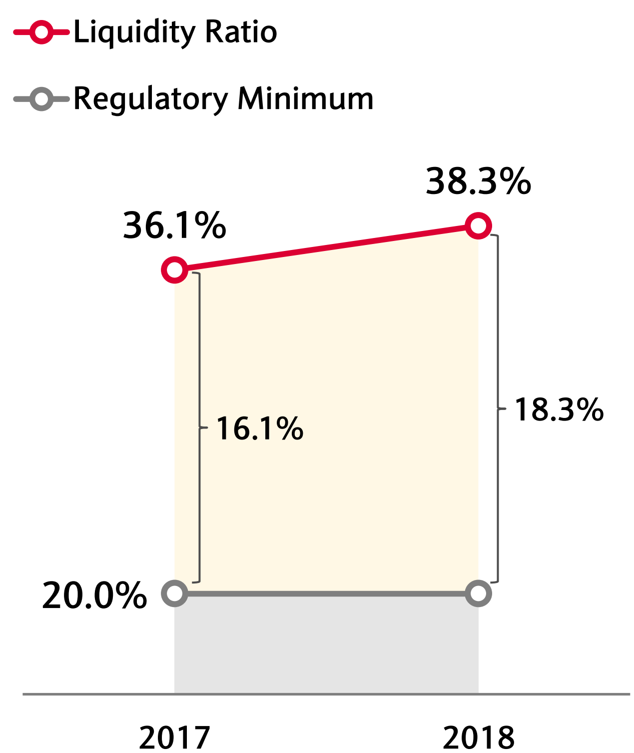
Core Capital Ratio



Total Capital Ratio



Liquidity Ratio



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Interim Dividend

Dividends	H1 2017	H1 2018
Interim Dividend per Share (KES)	0.20	0.20
Earning per Share	0.62	0.66
Total Dividends (KES Mn)	1,086	1,086

The Board recommends payment of interim dividend of KES 0.2 per ordinary share

BBK Strategy on a Page

Our Strategy

Growth | Transformation | Returns

1 Purpose

To bring your possibility to life

4 Priorities

PRIORITY 1	PRIORITY 2	PRIORITY 3	PRIORITY 4
Strongly grow, diversify and transform our business	Build the most digital, customer obsessed bank in Kenya	Build the powerhouse Institutional Bank in Kenya	Become a force for good in society and transform into an aspirational, fun and vibrant place to work

4 Enablers

1. Modernise our banking platforms
2. Enhance service capabilities
3. Introduce the new brand Absa
4. Introduce a new culture

1 Measure of Success

Growth above market with sustained high returns

Disclaimer

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Barclays Bank of Kenya. Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Barclays Bank of Kenya future operating, financial or other results and involve certain risks, uncertainties and assumptions.

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Appendix

Separation work streams

	Workstream	Scope
1	Marketing, Brand & Communication	• Brand Go To Market (GTM) plan Campaigns development, management & execution Communication Planning and execution and the development of toolkits and playbooks
2	Customer Value Proposition and Customer Experience	
3	People & Change	
4	Technology (Include digital channels and atms)	• Systems hosted in Barclays PLC will be moved to ABSA Group Limited – South Africa.
5	Forms, Stationery and uniforms	• Review of all our stationery in line with the new brand
6	Cheque, drafts and associated processes	• Review the processes around phasing out of the old account tools and adoption of the new ones with the new logo.
7	Legal, Compliance & regulatory	• Ensures compliance to all regulations in the change management process
8	Corporate Real Estate Services (CRES)	• Brand activities impact on our branch and ATM locations
9	All products bank wide, credit cards, debit cards and Point of Sale (POS)	
	Resourcing budgets	• Resources required in the separation Work streams